

Fiscal Sustainability in the Philippines: Institutional Assessments, Debt Dynamics, and Post-Pandemic Fiscal Risks

Josh Michael Luistro

Student Researcher, United World Colleges Thailand (UWC Thailand)

Independent Economics Research

Revised Working Paper, Version 1.2

May 2026

Abstract

This literature review examines how Philippine fiscal sustainability is interpreted after the COVID-19 pandemic, focusing on elevated post-pandemic National Government debt, persistent fiscal deficits, and limited durable revenue capacity. It reviews Philippine government fiscal reports, CPBRD budget analysis, the IMF 2025 Article IV Consultation, AMRO's 2025 Annual Consultation Report, and selected theory-based fiscal sustainability literature. Under the conventional institutional framework used by Philippine fiscal authorities, CPBRD, IMF, and AMRO, the Philippines does not appear to face an immediate fiscal crisis, but its fiscal path remains exposed to medium-term fiscal-space risks from debt-service pressures, slower deficit reduction, uncertain durable revenue mobilization, and growth-sensitive assumptions. However, this conclusion should not be read as an independent empirical test of solvency. Theory-based approaches emphasize the need to distinguish liquidity from insolvency and to assess debt sustainability through interest-growth dynamics, primary balances, fiscal gaps, or tax-equivalent adjustment. A fuller assessment also requires situating the Philippines against regional comparators and distinguishing National Government fiscal sustainability from broader macro-financial risks such as external debt, foreign-currency exposure, and private-sector balance-sheet vulnerabilities. The review concludes that Philippine fiscal sustainability is best understood as a conditional but empirically assessable fiscal question: institutional reports identify medium-term fiscal-space risks, while theory-based approaches clarify that stronger conclusions require analysis of interest-growth dynamics, primary balances, fiscal gaps, tax-equivalent adjustment, and the distinction between liquidity pressure and insolvency.

Keywords: Philippine fiscal sustainability; National Government debt; fiscal deficits; revenue capacity; fiscal space; debt sustainability; fiscal gap; debt sustainability analysis; Southeast Asia; regional comparison; IMF; AMRO; public finance

Research Question

To what extent is Philippine fiscal sustainability threatened by elevated post-pandemic National Government debt, persistent fiscal deficits, and limited durable revenue capacity?

Because fiscal sustainability is interpreted differently across institutional and theory-based frameworks, this review evaluates not only what major sources conclude, but also how they define, measure, and qualify fiscal risk.

1. Introduction

Fiscal sustainability refers to a government's ability to maintain its spending, borrowing, and debt-servicing obligations without creating an excessive debt burden, undermining macroeconomic stability, or limiting its future capacity to fund public needs. In the Philippine context, this issue became more urgent after the COVID-19 pandemic, when the government expanded borrowing and spending to finance emergency response, social protection, and economic recovery. By 2021, the National Government fiscal deficit had reached one of its highest pandemic-era levels, while the NG debt-to-GDP ratio had moved close to or above the commonly referenced 60% benchmark (Development Budget Coordination Committee, *FY 2021 Annual Fiscal Report* 2). This 60% benchmark should not be treated as a mechanical solvency boundary where debt suddenly becomes unsustainable, but as a fiscal-risk indicator that requires closer analysis of debt dynamics, debt servicing, durable revenue capacity, and growth assumptions (Development Budget Coordination Committee, *Medium-Term Fiscal Framework* 4).

This literature review focuses on the Philippines' post-pandemic fiscal sustainability path, using 2021 as the baseline year for pandemic-era fiscal expansion and examining fiscal consolidation targets and projections up to 2030. It does not provide a year-by-year account of all Philippine fiscal policy decisions from 2021 to 2030. Instead, it examines how recent Philippine government reports and international assessments interpret the country's debt, deficit, durable revenue capacity, and macroeconomic assumptions after the pandemic shock. The review focuses specifically on national government fiscal sustainability, rather than monetary policy, trade policy, poverty reduction, or the full national budget. It also uses official and institutional reports available within the reviewed source set, especially Philippine fiscal documents, the IMF 2025 Article IV Consultation, and AMRO's 2025 Annual Consultation Report. Later macroeconomic outturns are not used as primary evidence unless explicitly stated. It also does not evaluate every individual government program, but considers whether the broader fiscal path appears sustainable. Accordingly, unless otherwise stated, debt figures in this review refer primarily to National Government debt rather than general government debt, public sector debt, or external debt. This distinction is necessary because most Philippine fiscal reports use

NG debt-to-GDP as the main fiscal sustainability indicator, while broader debt concepts may include additional government units or public entities.

The central research question guiding this review is: **To what extent is Philippine fiscal sustainability threatened by elevated post-pandemic National Government debt, persistent fiscal deficits, and limited durable revenue capacity?** In this review, “elevated post-pandemic debt” refers to the accumulation of nominal NG debt and the persistence of the NG debt-to-GDP ratio near or above post-pandemic fiscal benchmarks, rather than a claim that the debt-to-GDP ratio has risen continuously every year. This question is important because fiscal sustainability is not only about whether the government can repay its debts. It also concerns whether the government can preserve enough fiscal space to invest in infrastructure, education, health, climate resilience, and social protection. If debt-servicing costs rise too quickly, or if revenue growth fails to keep pace with spending needs, the government may face pressure to cut productive expenditure, increase taxes abruptly, or rely on further borrowing.

Rather than treating fiscal sustainability as a single agreed-upon concept, this review reads the literature as a set of competing but overlapping institutional and theory-based interpretations. Philippine executive-branch reports emphasize baseline manageability, fiscal consolidation, and prudent debt management; CPBRD analysis stresses delayed consolidation and debt-service pressures; IMF and AMRO surveillance reports focus on rebuilding fiscal space and protecting growth; and theory-based fiscal sustainability literature cautions against equating debt thresholds, fiscal-space concerns, or liquidity constraints with insolvency. The review therefore synthesizes not only what the sources conclude, but also how they define, measure, and qualify fiscal sustainability.

Within the conventional institutional literature, this review examines four main indicators. First, it considers National Government debt (NG debt), particularly the debt-to-GDP ratio, debt composition, maturity structure, and debt-servicing burden. Second, it examines fiscal deficits, focusing on whether the government’s consolidation path is realistic after the pandemic-era deficit expansion. Third, it analyzes durable revenue capacity, including tax performance, non-tax revenues, and the durability of recent revenue reforms. Fourth, it considers macroeconomic assumptions, especially the role of economic growth in keeping debt sustainable. Philippine government reports generally argue that debt remains manageable under favorable conditions, but this review treats that conclusion as one institutional interpretation rather than as a complete empirical test of fiscal sustainability.

The review is organized into seven sections. First, it establishes the conceptual framework for assessing fiscal sustainability, including debt scope, solvency, liquidity, fiscal space, debt dynamics, revenue capacity, debt servicing, and theory-based interpretations. Second, it reviews Philippine government reports, which generally present fiscal sustainability as manageable within a conventional institutional framework. Third, it examines IMF and AMRO assessments as external surveillance perspectives that qualify the government baseline but do not provide conclusive empirical tests of solvency. Fourth, it briefly situates the Philippines in Southeast Asian perspective and discusses related fiscal policy issues, including revenue efficiency, expenditure quality, and sectoral implications. Fifth, it considers theory-based fiscal sustainability critiques, including fiscal-gap approaches, interest-growth dynamics, debt-stabilizing primary balances, and the distinction between liquidity and insolvency. Sixth, it synthesizes areas of agreement and disagreement across the literature. Finally, it concludes by arguing that Philippine fiscal sustainability is best understood as a conditional fiscal question rather than a settled debt-threshold issue.

2. Conceptual Framework

2.1 Defining Fiscal Sustainability and Debt Scope

Fiscal sustainability refers to the ability of a government to meet its present and future spending, borrowing, and debt-servicing obligations without causing NG debt to rise uncontrollably, forcing severe fiscal adjustment, or undermining long-term economic stability. This review distinguishes between several debt concepts. National Government debt refers to the obligations of the central/national government and is the main debt measure used in Philippine fiscal reports such as the MTFF, Annual Fiscal Reports, Bureau of the Treasury reports, Fiscal Risk Statements, and CPBRD budget briefs (Development Budget Coordination Committee, *Medium-Term Fiscal Framework* 3; Development Budget Coordination Committee, *FY 2024 Annual Fiscal Report* 91). General government debt is broader because it consolidates other government units, depending on statistical classification. Public sector debt may be wider still if it includes public corporations and other public entities. External debt refers only to debt owed to non-residents and should not be treated as equivalent to total government debt. Therefore, unless otherwise stated, this review focuses on National Government debt, while using general government or external debt figures only when the source explicitly provides them. This distinction becomes especially important because National Government debt, external debt, foreign-currency debt, and private-sector debt carry different kinds of macroeconomic and financial risk. This broader understanding is important for the Philippines because the post-pandemic fiscal challenge is not only whether the government can meet its obligations under baseline assumptions, but whether fiscal pressures limit the state's ability to fund infrastructure, education, health, climate resilience, and social protection.

2.2 Solvency, Liquidity, and Fiscal Space

Fiscal sustainability also involves three related but distinct concepts: solvency, liquidity, and fiscal space. Solvency refers to whether the government can meet its obligations over the long term without an explosive debt path. Liquidity refers to whether the government can meet near-term financing needs, including refinancing maturing obligations. Fiscal space refers to the government's remaining capacity to finance development priorities or respond to shocks without undermining debt sustainability. A country may remain solvent while still experiencing reduced fiscal space if debt-service costs absorb a growing share of revenues. This distinction is central to the revised review because several fiscal sustainability debates arise from confusing reduced fiscal flexibility, market-access pressure, or liquidity stress with insolvency. A government may face tighter financing conditions, higher debt-service costs, or reduced policy space without being fundamentally unable to meet its obligations (Monsod, Majadillas, and Gochoco-Bautista 735–746).

2.3 Institutional and Theory-Based Frameworks of Fiscal Sustainability

The concept of fiscal sustainability is contested. Conventional institutional frameworks, including those used by Philippine fiscal authorities, CPBRD, IMF, and AMRO, evaluate sustainability through debt ratios, fiscal deficits, primary balances, interest-growth dynamics, revenue capacity, debt-service burdens, and fiscal-space indicators. From this view, fiscal risk increases when elevated debt, persistent deficits, weak revenue mobilization, and rising debt-service costs reduce the government's ability to finance future obligations and development priorities (Development Budget Coordination Committee, *Medium-Term Fiscal Framework* 3–4; Congressional Policy and Budget Research Department 4–5; International Monetary Fund, *Philippines: 2025 Article IV Consultation* 26–27; ASEAN+3 Macroeconomic Research Office 16–18).

However, theory-based fiscal sustainability literature cautions that debt ratios and fiscal-space language alone are insufficient. A stronger assessment requires examining whether the economy can generate the primary balance, tax-equivalent adjustment, or fiscal gap needed to stabilize debt under plausible growth and interest-rate conditions. This distinction matters because liquidity constraints, market-access pressures, and reduced fiscal flexibility are not the same as insolvency (Monsod, Muyot, and Gochoco-Bautista 227–249; Monsod, Majadillas, and Gochoco-Bautista 735–746; Debuque-Gonzales et al.).

This review therefore treats fiscal sustainability as both an institutional and theory-based question. Philippine government reports, CPBRD, IMF, and AMRO identify fiscal-space risks through debt, deficit, revenue, debt-service, and growth indicators. Theory-based approaches then clarify the conditions under which those risks imply liquidity pressure, reduced fiscal flexibility, or deeper debt-sustainability concerns. This distinction allows the review to remain focused on fiscal sustainability without treating surveillance assessments as conclusive empirical tests of solvency.

2.4 Debt-to-GDP, Fiscal Deficits, and Primary Balance

Within the conventional institutional framework, the first key indicator is the NG debt-to-GDP ratio, which measures National Government debt relative to the size of the economy. A higher NG debt-to-GDP ratio does not automatically mean that the country is fiscally unsustainable, because a growing economy can carry a larger debt stock. Within this framework, debt becomes more concerning when it remains persistently elevated, declines more slowly than planned, or creates rising debt-servicing costs. The commonly referenced 60% benchmark should therefore be treated as a fiscal-risk benchmark rather than a mechanical crisis threshold. In Philippine fiscal reporting, the debt-to-GDP ratio is central because the government's original Medium-Term Fiscal Framework targeted a return to below 60% of GDP by 2025, but later projections delayed this adjustment

(Development Budget Coordination Committee, *Medium-Term Fiscal Framework* 3, 22–23). The 2024 Annual Fiscal Report notes that the updated fiscal program now targets an NG debt-to-GDP ratio below 60% by 2029, while the CPBRD observes that debt remained elevated at 60.7% in 2024 and had reached 63.1% by the second quarter of 2025 (Development Budget Coordination Committee, *FY 2024 Annual Fiscal Report* 91; Congressional Policy and Budget Research Department 4–5).

The second indicator is the fiscal deficit, which occurs when government expenditures exceed revenues within a given year. Deficits are not inherently harmful, especially during crises, recessions, or periods of high public investment. In the Philippine case, higher deficits after the COVID-19 pandemic were partly used to finance emergency response, recovery measures, and infrastructure spending. However, within conventional debt-stabilization frameworks, persistent deficits become a fiscal risk when they require continuous borrowing and prevent debt from stabilizing. The Medium-Term Fiscal Framework was created after the pandemic to restore fiscal health through improved revenue mobilization, more efficient spending, and a high-growth trajectory, but the government later acknowledged that the original targets were too optimistic under changing global and domestic conditions.

A related concept is the primary balance, which is the fiscal balance excluding interest payments on existing debt. Within conventional fiscal accounting, this matters because it shows whether current revenues are sufficient to cover current spending before the cost of past borrowing is included. A country may appear able to manage its overall deficit, but if it continues to run a large primary deficit, its debt stock may keep rising. The CPBRD’s framework is especially useful here because it applies debt sustainability analysis by examining the debt-to-GDP ratio, its drivers, and the debt-stabilizing primary balance. It argues that the government’s primary deficit must not exceed approximately -2.0% of GDP in order to prevent the debt-to-GDP ratio from rising over the medium term (Congressional Policy and Budget Research Department 5). In simplified debt dynamics, the change in the debt-to-GDP ratio can be expressed as:

$$\Delta d \approx [(r - g) / (1 + g)]d_{t-1} - pb$$

where d is the debt-to-GDP ratio, r is the effective nominal interest rate on government debt, g is nominal GDP growth, and pb is the primary balance as a share of GDP, with a primary surplus treated as positive. In simplified terms, the debt ratio rises when the interest burden on existing debt and the primary deficit exceed the growth effect from nominal GDP expansion. Therefore, even an elevated debt ratio can stabilize if growth remains strong and the primary deficit narrows, while a moderate

debt ratio can become risky if growth slows, interest rates rise, or primary deficits persist. The equation is expressed in nominal terms; when sources discuss real GDP growth and real effective interest rates, the same intuition applies as long as inflation is treated consistently.

2.5 Durable Revenue Capacity, Debt Servicing, and Gross Financing Needs

Within conventional fiscal-consolidation frameworks, the third major indicator is durable revenue capacity, or the government's ability to generate sufficient, reliable, recurring, and broad-based income. Limited durable revenue capacity refers not only to weak collections in a given year, but to the state's ability to generate recurring, buoyant revenues without excessive reliance on temporary non-tax inflows or politically uncertain reforms. This claim should be understood within the conventional institutional framework. This includes revenue effort, measured as total revenues as a share of GDP; tax effort, measured as tax revenues as a share of GDP; tax buoyancy, or the responsiveness of tax revenues to economic growth; administrative capacity in tax collection and enforcement; and the breadth of the tax policy base, including VAT, excise taxes, incentives, mining taxation, and digital services taxation. This distinction is important because not all revenue improvements are equally sustainable. Within conventional budgetary frameworks, permanent tax reforms and stronger tax administration create durable fiscal capacity, while one-off non-tax revenues may improve the fiscal balance temporarily without strengthening the government's long-term position. This is relevant to the Philippines because the MTFF identifies improved revenue mobilization as one of the central strategies for restoring fiscal health, while later government reports continue to stress the importance of robust revenue mobilization and warn that revenue underperformance could increase financing requirements.

The fourth indicator is debt servicing, especially interest payments as a share of government revenue and expenditure. Even when debt does not imply immediate solvency risk, debt-service obligations can still weaken conventional fiscal capacity if interest payments consume a growing share of public resources. Within the annual budget, this creates an opportunity-cost concern, where more money is allocated to past borrowing rather than current development priorities. The CPBRD highlights this risk clearly, noting that interest payments are projected to consume 14.3% of total government expenditure and 19.1% of total government revenues in FY 2026 (Congressional Policy and Budget Research Department 4–5). This suggests that the conventional fiscal concern is not only the size of the debt stock itself, but the pressure it creates on the annual budget. This opportunity-cost concern is distinct from a claim of immediate insolvency or acute debt distress. Beyond the debt stock, gross financing needs also matter because the government must finance both the current deficit and maturing obligations. A high NG debt-to-GDP ratio with long maturities and a large domestic-currency component is less risky than the same ratio with short maturities and high

foreign-currency exposure. Therefore, the Philippine debt profile reduces some rollover and exchange-rate risks, but persistent deficits and large amortization requirements can still keep financing needs elevated. This is why debt servicing, amortization, borrowing composition, and maturity structure must be assessed alongside the debt-to-GDP ratio.

The fifth and most important dynamic concept is the interest-growth differential, which compares the effective interest rate on government debt with the growth rate of the economy. NG debt is easier to sustain when economic growth is higher than the effective interest rate on government debt, because the economy's capacity to generate income expands faster than the cost of borrowing. Conversely, if growth slows or interest rates rise, the debt burden becomes harder to manage. This is why fiscal sustainability depends not only on fiscal policy but also on macroeconomic assumptions. The FY 2025 Fiscal Risk Statement states that favorable macroeconomic performance and adherence to fiscal consolidation commitments anchored debt sustainability, with real GDP growth exceeding the real effective interest rate in 2023 (Development Budget Coordination Committee, *Fiscal Risk Statement 2025* 36). However, it also warns that weaker-than-expected growth poses the greatest threat to the debt trajectory because it reduces revenues, increases borrowing pressure, and directly raises the debt-to-GDP ratio (Development Budget Coordination Committee, *Fiscal Risk Statement 2025* 36–40).

2.6 Analytical Framework for the Review

This framework therefore evaluates Philippine fiscal sustainability through seven connected questions. First, is NG debt stabilizing relative to GDP within the conventional institutional framework? Second, are fiscal deficits narrowing enough to reduce borrowing needs? Third, is the primary balance consistent with debt stabilization? Fourth, is revenue growth durable, broad-based, and buoyant rather than dependent on temporary gains? Fifth, are gross financing needs and debt-service costs likely to reduce fiscal space or create opportunity costs within the annual budget? Sixth, are growth, interest-rate, and macroeconomic assumptions strong enough to keep the debt path stable? Seventh, how does the interpretation of fiscal risk change when institutional assessments are compared with theory-based fiscal sustainability frameworks and regional benchmarks? These questions directly address the research question by linking elevated post-pandemic NG debt, persistent deficits, and limited durable revenue capacity to broader debates over liquidity, solvency, fiscal space, debt-stabilization requirements, and regional fiscal context.

Using this framework, the review treats Philippine fiscal sustainability as conditional and framework-dependent rather than absolute. Under conventional institutional assumptions, the country may remain fiscally sustainable if growth stays strong, interest rates remain manageable, deficit

reduction continues, and revenue reforms succeed. However, theory-based approaches require more formal assessment through debt-stabilizing primary balances, fiscal gaps, or tax-equivalent adjustment. Regional benchmarking and scope limitations further clarify that National Government fiscal sustainability should not be confused with a complete assessment of external debt, foreign-currency exposure, private-sector debt, or broader macro-financial vulnerability. Therefore, the framework does not judge fiscal sustainability by one indicator alone. It assesses how debt, deficits, revenues, debt servicing, growth, external constraints, regional benchmarks, and macro-financial scope limitations shape competing interpretations of the Philippines' fiscal position.

3. Philippine Government Reports

Within the conventional fiscal-sustainability framework used by Philippine fiscal authorities, government reports generally frame the country's fiscal position as manageable but conditional. Across the Medium-Term Fiscal Framework (MTFF), Annual Fiscal Reports, Fiscal Risk Statements, Bureau of the Treasury materials, and CPBRD budget analysis, the dominant government narrative is that the Philippines is not facing an immediate fiscal crisis. However, the tone differs by institution. Executive-branch reports such as the MTFF, Annual Fiscal Reports, Fiscal Risk Statements, and BTr materials emphasize resilience, fiscal consolidation, and prudent debt management (Development Budget Coordination Committee, Medium-Term Fiscal Framework 6; Bureau of the Treasury 13). By contrast, the CPBRD Budget Brief provides a more cautious legislative research perspective, focusing on delayed consolidation, debt-service pressures, and the risk that revised targets may weaken fiscal credibility. Overall, this body of literature presents fiscal sustainability as achievable through gradual fiscal consolidation, sustained economic growth, improved revenue mobilization, and prudent debt management, but only within the assumptions of the conventional fiscal framework.

3.1 Post-Pandemic Baseline and the MTFF Response

The 2021 Annual Fiscal Report provides the baseline for understanding the post-pandemic fiscal challenge. In 2021, the National Government deficit reached almost ₱1.7 trillion, 21.8% higher than the 2020 fiscal gap, while the NG debt-to-GDP ratio rose to 60.5% from 54.6% the previous year (Development Budget Coordination Committee, *FY 2021 Annual Fiscal Report* 2). These figures refer to National Government debt and borrowing, not to general government debt, public sector debt, or external debt. The report explains this increase in the context of economic recovery from the pandemic, noting that the government had to finance a large budget deficit while maintaining support for recovery measures. It also shows that borrowing was heavily domestic, with a 78:22 domestic-to-foreign borrowing mix in 2021 (Development Budget Coordination Committee, *FY 2021 Annual Fiscal Report* 13). This matters because the Philippine fiscal problem did not begin as a conventional debt crisis, but as a pandemic-induced expansion of borrowing and spending that narrowed fiscal space and raised the debt burden. This interpretation follows the government's conventional fiscal framework, which treats higher borrowing as reducing fiscal space even when it does not imply immediate insolvency.

The government's main response to this fiscal strain was the Medium-Term Fiscal Framework, first adopted in 2022 and later updated through 2030. The MTFF Midterm Update explicitly states that fiscal space narrowed after the COVID-19 pandemic because of weak revenue growth and heavy borrowing for pandemic-related measures (Development Budget Coordination Committee, *Medium-Term Fiscal Framework* 3). It presents the government's fiscal strategy as a three-pronged

approach: improved revenue mobilization, enhanced public spending efficiency, and sustained high growth (Development Budget Coordination Committee, *Medium-Term Fiscal Framework* 3). The original MTFF aimed to reduce the deficit-to-GDP ratio to 3.0% by 2028 and bring the NG debt-to-GDP ratio below 60% by 2025 (Development Budget Coordination Committee, *Medium-Term Fiscal Framework* 3). However, the Midterm Update acknowledges that these targets became increasingly unrealistic because of weaker global recovery, geopolitical shocks, inflationary pressures, delayed tax measures, mandatory expenditures, and continued development spending needs (Development Budget Coordination Committee, *Medium-Term Fiscal Framework* 4).

3.2 Recalibrated Consolidation Path

This revision is central to the literature because it reveals the first major tension in the government's own position. On one hand, the government insists that fiscal consolidation remains on track. On the other hand, it has had to slow the pace of consolidation. The MTFF Midterm Update argues that recalibration is necessary to keep fiscal policy realistic and growth-enhancing rather than excessively contractionary. In this framing, slower consolidation is not a failure but an adjustment to changed conditions. The updated framework therefore aims to preserve fiscal sustainability while allowing the government to continue funding infrastructure, health, education, agriculture, social welfare, and other priority sectors.

The FY 2024 Annual Fiscal Report supports this more moderate government position. It states that the MTFF remains the guiding framework for macro-fiscal stability and medium-term fiscal sustainability, even though it does not function as a legally binding fiscal rule (Development Budget Coordination Committee, *FY 2024 Annual Fiscal Report* 91). The updated targets approved by the DBCC extend the fiscal program to 2030 and aim for 6.5%–7.0% real GDP growth annually from 2026 to 2030, a 3.1% deficit-to-GDP ratio by 2030, and an NG debt-to-GDP ratio below 60% by 2029 (Development Budget Coordination Committee, *FY 2024 Annual Fiscal Report* 91). This shows that the government's fiscal sustainability strategy depends heavily on a gradual rather than rapid return to pre-pandemic fiscal conditions.

However, the CPBRD Budget Brief No. 4 offers a more cautious domestic perspective. Unlike executive-branch reports, which tend to frame recalibration as flexibility, the CPBRD describes the revised deficit path as a “clear departure” from the original MTFF consolidation path (Congressional Policy and Budget Research Department 2). It notes that the original MTFF expected the deficit to fall to 3.0% of GDP by 2028 and the NG debt-to-GDP ratio to fall below 60% by 2025, assuming real GDP growth of 6.5% to 8.0% (Congressional Policy and Budget Research Department 2). Under the revised DBCC projections, however, the deficit target for 2025 was raised to 5.5% of GDP, while the

2028 target was adjusted upward to 4.3% (Congressional Policy and Budget Research Department 2). This reinforces that the issue is not a simple upward trend in the debt ratio, but a delayed return to the government's intended NG debt path. The CPBRD emphasizes that meeting even these revised targets remains contingent on achieving government growth assumptions.

Indicator	Original MTFF target/assumption	Revised target/latest figure	Implication
NG debt-to-GDP	Below 60% by 2025	Below 60% by 2029; 60.7% in 2024; 63.1% by Q2 2025	Debt reduction delayed
Deficit-to-GDP	3.0% by 2028	4.3% by 2028; 3.1% by 2030	Consolidation slower than originally planned
Growth assumption	6.5%–8.0% from 2023 to 2028	6.0%–7.0% in revised government assumptions; lower IMF/AMRO projections for 2025–2026	Fiscal path depends heavily on growth
Revenue strategy	Improved revenue mobilization under MTFF	Continued reliance on tax reforms, administration, and some non-tax revenues	Durability of revenue gains remains central

Source: Author's synthesis based on DBCC/MTFF updates, FY 2024 Annual Fiscal Report, CPBRD Budget Brief No. 4, IMF 2025 Article IV Consultation, and AMRO 2025 Annual Consultation Report.

The table shows that the government's fiscal strategy has not been abandoned, but its timeline has become less ambitious. This supports a conditional interpretation within the conventional fiscal framework: the fiscal path remains feasible under baseline assumptions, but the margin for error has narrowed. It does not, by itself, prove insolvency risk.

3.3 National Government Debt and Debt-Servicing Pressures

National Government debt is the second major area of agreement and tension. Government reports generally argue that the NG debt profile remains manageable because the Philippines relies heavily on domestic borrowing, maintains a large share of medium- and long-term debt, and uses prudent debt-management strategies to limit exposure to foreign exchange and interest-rate shocks (Bureau of the Treasury 6–7, 13). The FY 2025 Fiscal Risk Statement describes national government debt as “eminently sustainable,” arguing that favorable interest-growth dynamics and continued fiscal adjustment support medium-term debt reduction (Development Budget Coordination Committee, *Fiscal Risk Statement 2025* 36). It also states that prudent debt management helps reduce risks from market volatility and large amortizations.

Still, the debt level remains elevated. CPBRD notes that national government debt reached ₱11.7 trillion, or 60.4% of GDP, in 2021, breaching the 60% threshold for the first time since 2004. Debt later remained above this level: 60.9% in 2022, 60.1% in 2023, 60.7% in 2024, and 63.1% by the second quarter of 2025 (Congressional Policy and Budget Research Department 4). Thus, the strongest interpretation is not that the NG debt-to-GDP ratio has risen continuously every year, but that it has remained persistently elevated after the pandemic while debt reduction has been delayed. Yet, this complicates the government’s optimistic framing because the issue is not merely whether debt is technically repayable. The issue is whether debt remains persistently elevated long enough to constrain fiscal space and increase vulnerability to shocks. The FY 2026 Fiscal Risks Statement strengthens this conditional interpretation. It projects NG debt to peak at 61.7% of GDP in FY 2026 before gradually declining under the baseline, suggesting that debt remains sustainable under current fiscal policy settings (Development Budget Coordination Committee, *Fiscal Risks Statement 2026* 37). However, it also warns that the debt trajectory remains sensitive to growth shocks and real interest-rate increases. In the report’s simulated growth shock, a sharp slowdown from 5.5% to 0.9% could push the debt-to-GDP ratio to around 70.0% (Development Budget Coordination Committee, *Fiscal Risks Statement 2026* 37). This shows that Philippine fiscal sustainability depends heavily on the macroeconomic assumptions behind the baseline, rather than on the debt ratio alone.

Debt servicing sharpens this concern within the conventional budgetary framework. CPBRD argues that debt-service expenditures continue to consume a substantial portion of the government budget. For FY 2026, total debt service is projected at ₱2.0 trillion, including ₱950.0 billion in interest payments and ₱1.1 trillion in principal amortization (Congressional Policy and Budget Research Department 4). Interest payments are projected to consume 14.3% of total government expenditure and 19.1% of total government revenues in FY 2026 (Congressional Policy and Budget Research Department 4). This suggests that the fiscal concern is not only the debt-to-GDP ratio itself, but the

opportunity cost created when interest payments absorb a growing share of annual revenues and expenditures. Even if the Philippines avoids a debt crisis, rising interest payments can reduce conventional fiscal flexibility and place pressure on productive spending. This opportunity-cost concern is distinct from a claim of immediate insolvency or acute debt distress.

3.4 Durable Revenue Capacity and Fiscal Risks

Within conventional fiscal-consolidation frameworks, durable revenue capacity is the third major issue. Government reports present revenue mobilization as the central solution to fiscal consolidation. The MTFF identifies improved revenue mobilization as one of the main strategies for rebuilding fiscal health, while the Fiscal Risk Statement highlights tax administration reforms, digitalization, the Ease of Paying Taxes law, VAT on non-resident digital service providers, excise taxes, and mining fiscal reforms as measures expected to strengthen revenue generation (Development Budget Coordination Committee, *Medium-Term Fiscal Framework* 3). The FY 2025 Fiscal Risk Statement projects total revenues to rise from ₱3.824 trillion in 2023 to ₱6.250 trillion by 2028, or from 15.7% to 17.0% of GDP. (Development Budget Coordination Committee, *Fiscal Risk Statement 2025* 32).

Yet this optimism is weakened by two problems. First, several revenue measures have faced delays or political resistance, which the MTFF Midterm Update itself acknowledges. Second, some recent revenue gains depend on non-recurring sources rather than durable tax capacity. The MTFF notes that revenue performance from 2022 to 2024 improved partly because of economic reopening and stronger tax compliance, but also because of non-tax receipts such as BTr investment income, dividend remittances, PPP concession fees, and fund balance transfers from PhilHealth and PDIC (Development Budget Coordination Committee, *Medium-Term Fiscal Framework* 13). This distinction matters because temporary revenue windfalls can improve a fiscal year's balance without permanently strengthening the conventional fiscal position or reducing the need for future consolidation. Rather, within the conventional fiscal literature reviewed here, revenues remain important because they affect deficit targets, debt-service ratios, borrowing requirements, and the political credibility of fiscal consolidation.

The final and most important assumption across government reports is continued economic growth. The government's fiscal sustainability narrative depends on the idea that GDP growth will remain strong enough to reduce the debt burden over time. The FY 2025 Fiscal Risk Statement explicitly states that favorable macroeconomic performance and adherence to fiscal consolidation commitments anchor debt sustainability, with real GDP growth in 2023 exceeding the real effective interest rate (Development Budget Coordination Committee, *Fiscal Risk Statement 2025* 36). This favorable

interest-growth differential supports debt consolidation because the economy grows faster than the real cost of debt.

However, the same Fiscal Risk Statement identifies weaker-than-expected growth as the greatest threat to the debt trajectory. Slower growth would weaken revenue collection, increase pressure on priority spending, raise borrowing requirements, and directly increase the debt-to-GDP ratio by reducing the denominator. It also warns that revenue and expenditure risks remain, including tax collection underperformance, normalization of customs collections, higher interest payments, the military and uniformed personnel pension system, and decentralization pressures (Development Budget Coordination Committee, *Fiscal Risk Statement 2025* 11–40). This means the government’s own risk analysis confirms that fiscal sustainability depends heavily on assumptions that may not fully materialize. The Fiscal Risk Statements also widen the sustainability issue beyond the headline deficit and NG debt ratio. Several contingent or quasi-fiscal pressures could worsen fiscal balances even if the baseline consolidation path appears manageable. These include military and uniformed personnel pension obligations, LGU devolution pressures following the Mandanas-Garcia ruling, GOCC-related risks, PPP contingent liabilities, natural disasters and climate-related spending, health and social protection pressures, and possible revenue losses from tax incentives or revenue-eroding exemptions (Development Budget Coordination Committee, *Fiscal Risks Statement 2026* 57–92). These risks matter because they can increase expenditure or reduce revenues without immediately appearing in the headline debt path, thereby weakening fiscal space over the medium term.

3.5 Synthesis of Philippine Government Reports

Overall, Philippine government reports do not present fiscal sustainability as an immediate crisis, but neither do they prove that the fiscal path is secure. Executive-branch documents, especially the MTFF and Fiscal Risk Statements, emphasize resilience, prudent debt management, and the possibility of restoring fiscal space through growth and revenue reforms. The FY 2024 Annual Fiscal Report reinforces this by extending fiscal targets to 2030 and presenting the MTFF as the guiding framework for medium-term sustainability. However, the CPBRD brief provides a more critical domestic reading, highlighting that fiscal consolidation has slowed, NG debt remains near or above the 60% benchmark, and debt-service costs are taking up a larger share of revenue and expenditure.

Therefore, the Philippine government literature presents a baseline-consistent but risk-sensitive view within the conventional fiscal framework: fiscal sustainability is manageable under baseline assumptions, but vulnerable under stress conditions. The government’s strategy can work if growth remains strong, revenue reforms are implemented, borrowing remains prudently managed, and deficits gradually decline. However, this conclusion should be interpreted as an institutional fiscal-space

assessment, not as a formal empirical test of solvency. In relation to the research question, Philippine government reports treat elevated post-pandemic NG debt, persistent deficits, and limited durable revenue capacity as medium-term fiscal-space risks, not as evidence of immediate debt crisis or insolvency.

4. IMF and AMRO: External Surveillance Assessments and the Limits of Risk Qualification

4.1 Comparability and Role of External Surveillance

IMF and AMRO assessments are broadly consistent with the Philippine government's conventional baseline view that fiscal sustainability remains manageable, but they attach stronger qualifications regarding implementation credibility, revenue durability, growth realism, and shock exposure. These assessments are useful as surveillance-based institutional perspectives, but they should not be treated as conclusive empirical tests of Philippine solvency. Philippine government documents, especially the MTFF, Annual Fiscal Reports, Fiscal Risk Statements, and BTr materials, emphasize resilience: NG debt remains sustainable under baseline assumptions, borrowing is prudently managed, revenue reforms are underway, and gradual fiscal consolidation remains possible. IMF and AMRO do not overturn this baseline, but they test whether the assumptions behind it are sufficiently credible within their own surveillance frameworks.

A comparability caveat is necessary. IMF fiscal projections may follow IMF/GFS definitions that differ from Philippine cash-based fiscal reporting, particularly in the treatment of privatization receipts, equity, net lending, and some expenditure classifications (International Monetary Fund, *Philippines: 2025 Article IV Consultation* 4). Therefore, this section compares the direction and analytical interpretation of fiscal trends rather than treating all headline deficit figures from Philippine government reports, CPBRD, IMF, and AMRO as perfectly interchangeable.

The role of these external surveillance institutions is therefore to shift the analysis from whether the Philippines appears fiscally sustainable under baseline projections to whether the conditions supporting that sustainability are durable enough: credible consolidation, recurring revenue mobilization, realistic growth assumptions, efficient public spending, and resilience to external, governance, and climate-related shocks.

4.2 IMF: Low Sovereign Stress Risk, but Fiscal Space Must Be Rebuilt

The IMF's 2025 Article IV assessment does not suggest that the Philippines faces an immediate fiscal crisis. It assesses sovereign stress risk as low and projects NG debt to decline gradually toward about 60% of GDP by 2030, provided fiscal consolidation continues (International Monetary Fund, *Philippines: 2025 Article IV Consultation* 4, 46). This broadly aligns with the Philippine government's view that debt remains manageable under baseline assumptions. However, the IMF is more explicit that fiscal space must still be rebuilt after the pandemic-era expansion of borrowing and spending. The IMF's rationale for consolidation is broader than debt reduction alone: it argues that medium-term consolidation would rebuild fiscal buffers, reduce gross financing needs, limit crowding-out risks, and support external balance (International Monetary Fund, *Philippines: 2025 Article IV Consultation* 26–27).

This is important because the IMF separates solvency risk from fiscal-space risk. The Philippines may be able to continue servicing NG debt, but that does not mean the fiscal position is unconstrained. Elevated post-pandemic NG debt, debt-service obligations, and persistent deficits can still limit the

government's ability to respond to shocks or finance development priorities. In this sense, the IMF supports the conventional institutional interpretation that the main near-term concern is not immediate debt distress, but the rebuilding of fiscal buffers and fiscal space.

The IMF's latest published communication reports growth of 5.1% in 2025 and 5.6% in 2026, revised downward after weaker-than-expected third-quarter performance (International Monetary Fund, *Philippines: 2025 Article IV Consultation* 1–2). This matters for fiscal sustainability because both figures are below the stronger growth assumptions embedded in the government's medium-term fiscal path, narrowing the margin for debt and deficit reduction.¹

4.3 IMF: Consolidation Credibility Depends on Durable Tax Measures

The IMF's first major contribution is its emphasis on the credibility of the fiscal framework. Philippine government reports emphasize targets: narrowing the deficit, returning the NG debt-to-GDP ratio below the 60% benchmark, and improving revenue mobilization under the MTFF. The IMF accepts the direction of these targets but places more weight on whether they are supported by concrete tax and expenditure measures, stronger public financial management, and credible fiscal institutions (International Monetary Fund, *Philippines: 2025 Article IV Consultation* 26–27).

The IMF's concern is not simply that the Philippines has a fiscal deficit, but that consolidation may become expenditure-led if new tax policy measures are not implemented. The Article IV report notes that, absent new tax measures, staff projections assume that part of the 2027–2028 consolidation would be achieved largely through lower spending (International Monetary Fund, *Philippines: 2025 Article IV Consultation* 26–27). This directly reinforces the central risk identified in this review: limited durable revenue capacity can force the government to choose between continued borrowing and compression of priority expenditure.

This matters because fiscal consolidation is not automatically growth-enhancing. A consolidation path supported by recurring revenue gains can reduce deficits while protecting infrastructure, education, health, climate resilience, and social protection. By contrast, consolidation achieved mainly through spending restraint may improve the fiscal balance in the short term but weaken long-term growth if it compresses productive expenditure. Within the IMF's surveillance framework, the Philippine fiscal issue is therefore reframed from “Can the government reduce the deficit?” to “Can the government reduce the deficit through credible and growth-sensitive measures?”

¹ Some tables and narrative sections in the Article IV package reflect earlier projections of 5.4% for 2025 and 5.8% for 2026. This review uses the press-release figures when discussing the latest IMF communication, while noting that both projection sets remain below the government's stronger medium-term assumptions (International Monetary Fund, *Philippines: 2025 Article IV Consultation* 4).

4.4 IMF: Durable Revenue Mobilization as the Core Constraint within Conventional Consolidation

The IMF's second major contribution is its sharper distinction between temporary revenue improvement and durable tax mobilization. Philippine government reports recognize revenue mobilization as a central pillar of fiscal sustainability, but they often discuss recurring tax gains, administrative reforms, economic reopening effects, GOCC dividends, PPP concession fees, BTr income, and fund balance transfers within the same broad revenue narrative. The IMF's analysis is more demanding because it focuses on the recurring tax base needed to sustain consolidation over time (International Monetary Fund, *Philippines: 2025 Article IV Consultation* 26–27, 63).

This distinction matters because not all revenue gains have the same fiscal value. Temporary non-tax receipts may improve the deficit in a given year, but they do not permanently strengthen the government's ability to finance debt service and development spending. Durable revenue capacity requires recurring, buoyant, and broad-based revenues supported by tax policy and administrative capacity (International Monetary Fund, *Philippines: 2025 Article IV Consultation* 63). This directly connects to the research question because, within conventional consolidation frameworks, limited durable revenue capacity is the most structural constraint on reducing deficits without compressing productive expenditure.

The IMF therefore adds a sharper warning than the Philippine government baseline. If durable tax mobilization is delayed or politically constrained, fiscal consolidation may rely excessively on lower expenditure. This would place pressure on the same public investments needed to sustain future growth and revenue capacity. In this sense, revenue weakness is not merely one fiscal risk among many within the IMF's framework. It is the constraint that determines whether deficit reduction occurs through durable revenue gains or expenditure compression.

4.5 AMRO: Stable Near-Term Outlook, but Weaker Growth Assumptions

AMRO's 2025 assessment presents a stable but more constrained outlook. It projects GDP growth of 5.2% in 2025 and 5.3% in 2026, moderating from 5.7% in 2024 and remaining below the pre-COVID trend (ASEAN+3 Macroeconomic Research Office, *AMRO Annual Consultation Report* 6). This supports the review's argument that the government's fiscal path depends heavily on growth assumptions that may be more difficult to sustain than the baseline suggests.

AMRO's assessment is more nuanced than a simple downgrade. It treats the recent slowdown as partly cyclical, linked to temporary disruptions such as halted infrastructure projects, severe weather, weaker sentiment, and financial volatility (ASEAN+3 Macroeconomic Research Office, *AMRO Annual Consultation Report* 6, 62). At the same time, it argues that the Philippines faces deeper structural constraints that limit potential growth. This distinction matters for fiscal sustainability: cyclical weakness may reverse as project implementation and confidence recover, but structural constraints in infrastructure, productivity, manufacturing depth, and skills would weaken the growth assumptions supporting the fiscal path.

This is where AMRO makes a distinct contribution. Philippine government reports often treat strong growth as an anchor of debt sustainability. AMRO asks whether that growth anchor is secure. If growth underperforms, the NG debt-to-GDP ratio becomes harder to reduce, revenue targets become harder to meet, and deficit reduction becomes more difficult. Therefore, AMRO shifts the analysis from growth as a fiscal assumption to growth as a structural condition that must be actively maintained.

4.6 AMRO: Structural Constraints, Private Investment, and Public Investment Quality

AMRO's fiscal contribution is not simply that growth may be lower. It also argues that fiscal consolidation must be balanced with continued investment in infrastructure, digitalization, human capital, and climate resilience (ASEAN+3 Macroeconomic Research Office, *AMRO Annual Consultation Report* 16–18). This means fiscal sustainability depends not only on reducing the deficit, but also on protecting the public investments that sustain future growth and revenue capacity.

AMRO focuses on structural constraints that affect investment and productivity, including infrastructure and logistics gaps, uneven project implementation, regulatory bottlenecks, a shallow manufacturing base, high logistics and energy costs, workforce upskilling needs, and emerging productivity pressures in services (ASEAN+3 Macroeconomic Research Office, *AMRO Annual Consultation Report* 13, 24). If private-sector investment and productivity growth remain below what is needed to sustain potential output, the government may face a double burden: supporting growth through public spending while also reducing deficits.

AMRO's emphasis on public investment management is especially relevant because fiscal sustainability depends not only on the amount of public spending, but on whether major infrastructure and climate-resilience projects are selected, procured, implemented, and monitored effectively. Debt is less concerning when borrowing finances investment that raises future output and revenue. Debt is more concerning when public investment is delayed, poorly implemented, or unable to crowd in private-sector activity. AMRO therefore complements the IMF's focus on fiscal credibility by emphasizing the growth and investment conditions needed to make consolidation sustainable. The IMF similarly notes weak FDI and manufacturing indicators as part of near-term growth concerns, but AMRO's distinct emphasis is on private investment, infrastructure quality, productivity, and skills.

4.7 External, Financial, and Climate Risk Channels

IMF and AMRO also broaden the fiscal sustainability discussion by identifying risk channels beyond the headline NG debt ratio. The IMF points to global trade policy uncertainty, geopolitical tensions, disruptive financial market corrections, governance concerns, and climate shocks as downside risks (International Monetary Fund, *Philippines: 2025 Article IV Consultation* 2). These risks matter fiscally because they can weaken growth, reduce revenues, increase borrowing costs, delay public investment, or raise expenditure needs.

AMRO similarly links fiscal sustainability to external and financial conditions. Exchange-rate depreciation can raise import costs, inflationary pressures, and the burden of foreign-currency-denominated obligations (ASEAN+3 Macroeconomic Research Office, *AMRO Annual Consultation Report* 13). Tighter global financial conditions could raise domestic funding costs and increase pressure on the exchange rate, especially if investor sentiment weakens or global yields rise. These risks do not imply an external debt crisis, but they show that the fiscal path is exposed to global financial conditions and investor sentiment.

Climate risk is especially important for the Philippines because natural disasters can simultaneously damage output, increase public spending needs, weaken revenues, and create pressure for emergency borrowing (Development Budget Coordination Committee, *Fiscal Risks Statement 2026* 82–92; International Monetary Fund, *Philippines: 2025 Article IV Consultation* 2). This reinforces the broader argument of the Fiscal Risk Statements: baseline debt sustainability may remain manageable, but adverse shocks can quickly narrow fiscal space. IMF and AMRO therefore reinforce the conditional view of sustainability by showing how growth, interest rates, exchange rates, governance, and climate events can transmit into fiscal risk.

4.8 Direct Comparison: Philippine Government Reports, IMF, and AMRO

Issue	Philippine Government Reports	IMF	AMRO
Overall fiscal view	Fiscal path remains manageable under baseline assumptions	Low sovereign stress risk, but fiscal space must be rebuilt	Stable outlook, but consolidation is slower than planned
Type of assessment	Domestic fiscal-program and risk-management framework	Surveillance-based macro-fiscal assessment, not a full empirical solvency test	Regional surveillance assessment emphasizing growth, stability, and structural constraints
Main emphasis	Targets, resilience, debt management, and fiscal consolidation	Credibility of consolidation and concrete tax/PFM measures	Realism of growth assumptions and structural growth constraints
NG debt	Manageable due to domestic borrowing, fixed-rate debt, and longer maturities	Gradual decline depends on continued consolidation	Fiscal risks remain manageable, but slower consolidation and weaker growth

			assumptions increase vulnerability to shocks
Deficit	Narrowing, but targets have been recalibrated	Consolidation should continue with credible measures	Consolidation continues but is slower than planned
Revenue	Revenue reforms and administration improvements support consolidation	Durable tax mobilization is essential	Lower revenue ratios and higher growth-supporting expenditures slow consolidation
Growth	Strong growth anchors debt sustainability	Growth outlook revised downward; potential growth remains around 6% but downside risks dominate	Growth remains above 5%, but below pre-COVID trend and structurally constrained
Adjustment quality	Consolidation and development spending are treated as compatible	Priority spending should be protected through tax and PFM reforms	Consolidation should be balanced with infrastructure and human capital investment
Risk channels	Fiscal Risk Statements acknowledge macroeconomic, contingent liability, and disaster risks	Emphasizes global, governance, and climate-related downside risks	Emphasizes external, financial, investment, and productivity risks

Source: Author's synthesis based on Philippine government fiscal reports, IMF 2025 Article IV Consultation, and AMRO 2025 Annual Consultation Report.

This comparison shows that the IMF and AMRO qualify the Philippine government baseline rather than overturn it. They accept that fiscal sustainability remains manageable under current assumptions, but they place greater weight on the credibility of consolidation, durability of revenues, realism of growth projections, quality of public spending, and exposure to external shocks.

4.9 Section Synthesis: What IMF and AMRO Add to the Literature

The IMF and AMRO strengthen the review's central argument by showing that Philippine fiscal sustainability depends less on the 60% NG debt-to-GDP benchmark alone and more on the credibility of the assumptions behind the fiscal path. Both institutions broadly support the view that the Philippines does not face acute fiscal distress, but they identify different vulnerabilities. The IMF focuses on fiscal credibility: consolidation must be backed by concrete tax and expenditure measures, durable revenue mobilization, stronger public financial management, and protection of priority spending. AMRO focuses on the growth foundation of sustainability: consolidation must proceed while addressing infrastructure gaps, investment constraints, productivity challenges, skills upgrading, and climate resilience.

Together, these assessments show that elevated post-pandemic NG debt, persistent deficits, and limited durable revenue capacity become most threatening when they interact with weaker growth, rising debt-service costs, external shocks, governance problems, or climate-related spending pressures. Within the conventional institutional framework, debt is not yet presented as an acute solvency risk, but it is treated as narrowing fiscal space within the IMF/AMRO surveillance framework. Deficits are not yet uncontrollable, but they prolong borrowing needs. Revenue capacity has not collapsed, but its durability determines whether consolidation can occur without compressing productive expenditure.

Therefore, the IMF and AMRO move the literature beyond a simple debt-threshold discussion, but only within the limits of surveillance-based assessment. Their main contribution is to show that conventional fiscal sustainability depends on credible consolidation, durable tax mobilization, efficient public investment, and sustained growth. Their limitation is that they do not independently establish whether the Philippines' post-pandemic debt path is unsustainable under a formal *r-g*, fiscal-gap, or tax-equivalent framework.

4.10 Limits of Surveillance-Based Fiscal Sustainability Assessments

While IMF and AMRO assessments are useful for understanding institutional views of Philippine fiscal risks, they do not by themselves establish whether Philippine fiscal policy is empirically sustainable under a formal theoretical framework. Their reports emphasize the need to rebuild fiscal space after the pandemic, reduce deficits, and preserve buffers, but they do not fully answer whether the post-pandemic increase in NG debt has made the government less solvent or merely reduced fiscal flexibility under conventional assumptions.

This distinction matters because fiscal sustainability is not determined by the debt-to-GDP ratio alone. A government with elevated debt may remain solvent if economic growth, interest rates, revenue capacity, and primary balances allow it to service debt over time. Conversely, a government may face liquidity, exchange-rate, or market-access pressures without being insolvent in a strict sense (Monsod, Majadillas, and Gochoco-Bautista 735–746).

Therefore, this review treats IMF and AMRO assessments as important institutional perspectives, but not as conclusive empirical tests of Philippine fiscal sustainability. Their value lies in identifying baseline risks, fiscal-space concerns, and policy priorities. Their limitation is that they do not fully establish whether the Philippines' post-pandemic debt path is unsustainable under a formal r-g, primary balance, fiscal-gap, or tax-equivalent framework (Monsod, Muyot, and Gochoco-Bautista 227–249; Debuque-Gonzales et al.).

5. Regional Benchmarking and Related Fiscal Policy Issues

5.1 Philippine Fiscal Indicators in Southeast Asian Perspective

A regional comparison helps clarify whether the Philippines' post-pandemic fiscal position is unusually weak or broadly consistent with patterns among Southeast Asian peers. Like several regional economies, the Philippines expanded borrowing during the pandemic and entered the post-pandemic period with higher debt, larger deficits, and pressure to rebuild fiscal buffers. However, the fiscal meaning of these indicators depends on country-specific growth prospects, revenue capacity, debt composition, and expenditure quality. The Philippines should therefore be compared not only by the level of NG debt-to-GDP, but also by revenue effort, interest burden, deficit persistence, and the extent to which public borrowing supports growth-enhancing investment.

For a concise benchmark, this review compares the Philippines with Indonesia, Malaysia, Thailand, and Vietnam. These countries are useful comparators because they are large or fast-growing Southeast Asian economies facing post-pandemic fiscal consolidation pressures, although they differ in economic structure, revenue systems, debt composition, and growth trajectories. Singapore is excluded from the core comparison because its fiscal structure, reserve position, and institutional context make it less comparable to the Philippines.

Indicator	Philippines	Indonesia	Malaysia	Thailand	Vietnam	Interpretation
Selected government/public debt-to-GDP figure, latest available	63.1% by Q2 2025	41.0% in 2025	around 64% in 2025	65.64% in 2025	31.8% in 2024	The Philippines is not the highest-debt case among comparators, but its debt remains elevated relative to its own post-pandemic targets.
General government fiscal balance, % of GDP, 2026 projection	-3.8%	-2.9%	-3.3%	-2.2%	-2.0%	The Philippines has a wider projected deficit than these selected peers.
Real GDP growth, 2026 projection	4.1%	5.0%	4.7%	1.5%	7.1%	Philippine growth is stronger than Thailand's but below Vietnam's and Indonesia's, weakening the denominator effect relative to faster-growing peers.

Source: Author's synthesis based on CPBRD, IMF WEO April 2026 projections, national fiscal reports, and OECD Revenue Statistics in Asia and the Pacific 2025. Debt figures are not perfectly harmonized because countries report public, central government, federal government, or general government debt differently; the table is used for regional benchmarking rather than formal debt-sustainability estimation.

Revenue effort should be treated separately from the table because tax-to-GDP indicators are not always directly comparable across countries due to differences in social security contributions, tax assignment across levels of government, and data coverage. OECD Revenue Statistics in Asia and the Pacific 2025 provides useful comparative evidence on tax-to-GDP ratios across Asian and Pacific economies, but this review uses that evidence as supporting context rather than as a fully harmonized regional fiscal-sustainability indicator.

The table suggests that the Philippines is not an extreme regional outlier in headline public debt, especially compared with Malaysia and Thailand. However, it appears more exposed through the combination of elevated debt relative to its own post-pandemic targets, a wider projected fiscal deficit, and weaker projected growth than faster-growing peers such as Vietnam and Indonesia. This supports the paper's central argument: the Philippines does not face an immediate fiscal crisis, but its fiscal path

becomes more vulnerable when debt-service pressures, deficit persistence, revenue durability, and growth assumptions are considered together.

However, the comparison should be interpreted cautiously because the indicators are not perfectly harmonized. Some countries report central government, federal government, public debt, or general government debt differently, while fiscal balances may be measured using different accounting conventions. Therefore, the table is used only as a regional benchmark, not as a formal cross-country debt-sustainability model. Its purpose is to show relative fiscal context, not to estimate country-specific solvency conditions.

5.2 Revenue Generation and Expenditure Efficiency

The regional comparison clarifies why fiscal sustainability cannot be evaluated through debt and deficit indicators alone. It also highlights that fiscal sustainability depends not only on how much revenue the government collects, but how efficiently it raises and spends public resources. On the revenue side, weak tax effort, narrow tax bases, exemptions, compliance gaps, and administrative leakages can limit consolidation even when headline growth remains strong. On the expenditure side, debt-financed spending is more sustainable when it raises future productivity, crowds in private investment, and improves human capital. It is less sustainable when projects are delayed, poorly selected, or absorbed by recurrent spending without clear growth effects (International Monetary Fund, *Philippines: 2025 Article IV Consultation* 26–27, 63; ASEAN+3 Macroeconomic Research Office, *AMRO Annual Consultation Report* 16–18).

This matters for the Philippines because the fiscal sustainability problem is not only the level of debt or deficit, but the productivity of the fiscal adjustment. A revenue-led consolidation supported by efficient tax administration and broad-based reforms can preserve priority spending. An expenditure-led consolidation may improve the deficit in the short term but weaken long-term growth if it compresses infrastructure, education, health, climate resilience, or social protection. Therefore, revenue efficiency and expenditure quality are central to whether fiscal consolidation strengthens or weakens development capacity (Development Budget Coordination Committee, *Medium-Term Fiscal Framework* 3; International Monetary Fund, *Philippines: 2025 Article IV Consultation* 26–27).

5.3 Business and Sectoral Implications

Because this paper remains a fiscal sustainability review rather than a sectoral impact study, the following implications are treated as policy channels rather than fully tested sector-level findings. Fiscal sustainability also has business and sectoral implications. If consolidation becomes expenditure-led, infrastructure, education, health, climate resilience, and social protection may face pressure despite their role in supporting long-term growth. If consolidation becomes revenue-led, the distribution of tax measures matters for households, firms, digital services, mining, consumption, and investment. For businesses, the relevant fiscal question is not only whether public debt remains serviceable, but whether fiscal policy supports stable macroeconomic conditions, infrastructure delivery, predictable taxation, and investment confidence (ASEAN+3 Macroeconomic Research Office, *AMRO Annual Consultation Report* 13, 16–18, 24).

These effects are likely to differ across sectors. Infrastructure-dependent sectors may be affected by delays in public investment; climate-exposed sectors may face higher risks if disaster and adaptation spending are constrained; and sectors affected by new tax measures may experience changes in compliance costs, prices, or investment incentives. These sectoral issues fall beyond the main scope of this review, but they show why fiscal sustainability has real economy implications beyond headline debt ratios (Development Budget Coordination Committee, *Fiscal Risks Statement 2026* 82–92; ASEAN+3 Macroeconomic Research Office, *AMRO Annual Consultation Report* 16–18).

6. Theory-Based Fiscal Sustainability Critiques

6.1 Fiscal Gaps, r-g Dynamics, and Liquidity versus Insolvency

Theory-based fiscal sustainability literature strengthens and complicates the institutional picture. Rather than treating debt-to-GDP ratios as sufficient indicators, this literature asks whether debt can be stabilized under plausible assumptions about growth, interest rates, primary balances, and revenue capacity. The relevant question is not simply whether the debt ratio exceeds a benchmark, but whether the government can generate the fiscal adjustment needed to keep debt from rising without limit (Monsod, Muyot, and Gochoco-Bautista 227–249; Debuque-Gonzales et al.). In this context, a tax-equivalent adjustment refers to the implied fiscal effort needed to stabilize debt, expressed through the revenue or tax-rate change required under a given set of growth, interest-rate, and debt assumptions.

Monsod, Muyot, and Gochoco-Bautista provide one such approach by estimating fiscal sustainability gaps, defined as the difference between an economy's current tax rate and the “sustainable” tax rate that would stabilize the debt-to-GDP ratio over a given horizon. This approach shifts the analysis from headline debt thresholds to the fiscal adjustment required for debt stability. It also shows why debt sustainability cannot be inferred from the debt ratio alone (Monsod, Muyot, and Gochoco-Bautista 227–249).

A related approach appears in work on fiscal space for climate-vulnerable developing countries. Monsod, Majadillas, and Gochoco-Bautista emphasize the difference between long-term insolvency and short-term liquidity constraints, and caution that debt thresholds in IMF debt sustainability frameworks should not be confused with fiscal-space limits themselves. This matters for the Philippines because fiscal-space pressure does not automatically imply insolvency. A government may face market-access concerns, higher borrowing costs, or reduced fiscal maneuverability without being fundamentally unable to meet its obligations (Monsod, Majadillas, and Gochoco-Bautista 735–746).

The PIDS study by Debuque-Gonzales, Diokno-Sicat, Corpus, Palomar, Ruiz, and Miral is especially useful because it assesses Philippine public debt sustainability through empirical exercises rather than surveillance language alone. The study examines whether the country's debt level, given national government fiscal policy and plans, remains on a sustainable path. It uses historical debt decomposition, standard debt sustainability analysis, fiscal-gap computation, and fiscal reaction functions to assess fiscal solvency (Debuque-Gonzales et al.). The study finds that the country's post-pandemic debt position is less worrisome than during previous debt crises and remains manageable, while still emphasizing the need for a sound medium- to long-term fiscal consolidation plan and the absence of major fiscal policy reversals (Debuque-Gonzales et al.).

Therefore, the theory-based literature does not necessarily overturn the institutional conclusion that Philippine fiscal conditions remain manageable. Instead, it qualifies that conclusion. It suggests that stronger claims about sustainability require more than citing IMF, AMRO, or government reports;

they require formal attention to interest-growth dynamics, primary balances, fiscal gaps, sustainable tax rates, and the distinction between liquidity pressure and insolvency.

6.2 Scope Limits: External Debt, Private Debt, and Macro-Financial Vulnerability

This review focuses on National Government fiscal sustainability and does not provide a full balance-sheet assessment of the Philippine economy. This limitation matters because fiscal and macro-financial crises may arise not only from NG debt dynamics, but also from foreign-currency exposure, private-sector debt, banking-sector vulnerabilities, exchange-rate pressure, and monetary-fiscal interactions. The Philippines' relatively domestic-oriented NG debt profile reduces some conventional fiscal risks, but broader macro-financial risks require separate empirical treatment (Bureau of the Treasury 6–7, 13; World Bank).

Therefore, this paper does not claim to assess the full external or private-sector debt position of the Philippine economy. Its conclusion is limited to National Government fiscal sustainability as interpreted through institutional reports, regional benchmarking, and theory-based fiscal sustainability approaches. A future paper could examine Treasury-BSP operations, foreign-currency exposure, private-sector debt, and monetary-fiscal coordination more directly (World Bank).

7. Synthesis

7.1 Areas of Agreement

Across the reviewed sources, there is broad agreement that the Philippines does not face an immediate fiscal crisis in the conventional sense. Philippine government reports, CPBRD, IMF, AMRO, and empirical debt-sustainability work generally do not suggest acute debt distress. The disagreement is not about whether the Philippines is currently in crisis, but about how fiscal risk should be defined and measured (Development Budget Coordination Committee, Fiscal Risk Statement 2025 36; International Monetary Fund, *Philippines: 2025 Article IV Consultation* 4, 46; ASEAN+3 Macroeconomic Research Office 6; Debuque-Gonzales et al.).

There is also broad agreement that debt-to-GDP ratios alone are insufficient. Conventional reports use the debt ratio as a risk indicator, but even these reports consider growth, debt servicing, borrowing composition, revenue mobilization, and fiscal risks. Theory-based studies go further by requiring fiscal-gap, primary-balance, or debt-stabilization analysis. Regional benchmarking adds another layer by asking whether the Philippines' fiscal indicators are unusually weak or broadly consistent with peer economies (Development Budget Coordination Committee, *Medium-Term Fiscal Framework* 4; Congressional Policy and Budget Research Department 4–5; International Monetary Fund, World Economic Outlook Database; Monsod, Muyot, and Gochoco-Bautista 227–249; Monsod, Majadillas, and Gochoco-Bautista 735–746).

Finally, the literature agrees that growth and expenditure quality matter. Government reports rely on sustained growth to stabilize debt; IMF and AMRO stress growth realism, investment quality, and structural constraints; and theory-based approaches incorporate interest-growth dynamics. This means

fiscal sustainability depends not only on debt levels, but also on whether public borrowing, revenue reforms, and expenditure choices support future growth (Development Budget Coordination Committee, Fiscal Risk Statement 2025 36–40; ASEAN+3 Macroeconomic Research Office 13, 24; Debuque-Gonzales et al.).

7.2 Areas of Disagreement

The main disagreement concerns the meaning of fiscal sustainability itself. Philippine executive-branch reports interpret sustainability through fiscal consolidation, deficit reduction, prudent debt management, and revenue mobilization. CPBRD adopts a more cautious version of the same framework, emphasizing debt-service burdens and delayed consolidation. IMF and AMRO provide external surveillance assessments that support gradual consolidation and rebuilding fiscal space, but their reports do not constitute conclusive empirical tests of solvency (Development Budget Coordination Committee, *Medium-Term Fiscal Framework* 3–4; Congressional Policy and Budget Research Department 2, 4–5; International Monetary Fund, *Philippines: 2025 Article IV Consultation* 26–27; ASEAN+3 Macroeconomic Research Office 16–18).

Theory-based fiscal sustainability literature disagrees with relying too heavily on institutional surveillance language. From this perspective, the key question is whether debt can be stabilized under plausible assumptions about growth, interest rates, primary balances, and revenue capacity. Fiscal sustainability therefore requires a more formal assessment than simply noting that debt is above or near a benchmark (Monsod, Muyot, and Gochoco-Bautista 227–249; Debuque-Gonzales et al.).

A remaining scope disagreement concerns whether National Government debt analysis is sufficient to assess broader macro-financial vulnerability. A complete assessment would also examine foreign-currency exposure, external financing constraints, private-sector debt, and financial-sector risk. These issues fall outside the main scope of this review but remain relevant to a fuller analysis of Philippine macro-financial stability (Bureau of the Treasury 6–7, 13; World Bank).

7.3 Final Answer to the Research Question

The answer to the research question depends on the framework used. Under conventional institutional frameworks, Philippine fiscal sustainability is exposed to moderate but manageable medium-term risks because elevated post-pandemic NG debt, persistent deficits, debt-service pressures, limited durable revenue capacity, and growth-sensitive assumptions can narrow fiscal space. These risks are especially important if revenue reforms underperform, growth slows, borrowing costs rise, or climate and external shocks increase expenditure needs (Congressional Policy and Budget Research Department 4–5; International Monetary Fund, *Philippines: 2025 Article IV Consultation* 26–27, 63; ASEAN+3 Macroeconomic Research Office 6, 16–18; Development Budget Coordination Committee, Fiscal Risks Statement 2026 82–92).

However, these risks should not be interpreted as evidence of immediate insolvency. Theory-based approaches show that stronger claims require empirical assessment through interest-growth dynamics,

debt-stabilizing primary balances, fiscal gaps, or tax-equivalent adjustment. A fuller macro-financial assessment would also need to examine external debt, foreign-currency exposure, and private-sector balance-sheet risks (Monsod, Muyot, and Gochoco-Bautista 227–249; Monsod, Majadillas, and Gochoco-Bautista 735–746; Debuque-Gonzales et al.).

Therefore, Philippine fiscal sustainability is best understood not as a present debt crisis, but as a conditional fiscal question. Institutional frameworks identify fiscal-space pressure; regional benchmarking clarifies whether the Philippines is unusual relative to peer economies; and theory-based approaches demand stronger empirical testing. The most defensible conclusion is that the Philippines faces moderate conventional fiscal-space risks, but the available literature does not prove acute insolvency risk.

8. Conclusion

This literature review examined the extent to which Philippine fiscal sustainability is threatened by elevated post-pandemic National Government debt, persistent fiscal deficits, and limited durable revenue capacity in the post-pandemic period. Using 2021 as the baseline for pandemic-era fiscal expansion, the reviewed institutional and empirical literature suggests that the Philippines is not currently facing an immediate fiscal crisis in the conventional sense. Across Philippine government reports, IMF assessments, and AMRO analysis, there is broad agreement that NG debt remains manageable under baseline conditions, especially because of the country's domestic borrowing base, prudent debt-management strategy, and still-positive growth outlook (Bureau of the Treasury 6–7, 13; International Monetary Fund, *Philippines: 2025 Article IV Consultation* 4, 46; ASEAN+3 Macroeconomic Research Office, *AMRO Annual Consultation Report* 6).

However, the literature also shows that fiscal sustainability is increasingly conditional and measurement-dependent. Within the conventional institutional framework used by Philippine fiscal authorities, CPBRD, IMF, and AMRO, the Philippines' fiscal position depends heavily on continued economic growth, manageable interest rates, durable revenue reforms, and the government's ability to reduce deficits without weakening productive public spending. More cautious sources highlight important vulnerabilities: debt remains elevated, deficit targets have been recalibrated, debt-service costs are absorbing a growing share of public resources, and recent revenue improvements may not be fully durable (Development Budget Coordination Committee, *Medium-Term Fiscal Framework* 13; Congressional Policy and Budget Research Department 2, 4–5; International Monetary Fund, *Philippines: 2025 Article IV Consultation* 26–27, 63; ASEAN+3 Macroeconomic Research Office 16–18).

The review therefore concludes that Philippine fiscal sustainability is threatened to a moderate but manageable extent within the conventional institutional framework. The threat does not arise from immediate insolvency or acute debt distress. Rather, it arises from the possibility that debt-service pressures, persistent deficits, limited durable revenue capacity, and weaker-than-expected growth may reduce fiscal flexibility and constrain development-oriented expenditure (Congressional Policy and

Budget Research Department 4–5; International Monetary Fund, *Philippines: 2025 Article IV Consultation* 26–27, 63).

This conclusion should be interpreted cautiously. The institutional reports reviewed in this paper identify fiscal-space risks, debt-service pressures, revenue constraints, and growth vulnerabilities, but they do not constitute a full empirical test of solvency. Theory-based studies suggest that stronger conclusions require formal analysis of interest-growth dynamics, primary balances, fiscal gaps, sustainable tax rates, and liquidity versus insolvency (Monsod, Muyot, and Gochoco-Bautista 227–249; Monsod, Majadillas, and Gochoco-Bautista 735–746; Debuque-Gonzales et al.).

The country’s fiscal position should therefore be understood not as a present debt crisis, but as a conditional fiscal sustainability question. Under institutional frameworks, the main concern is medium-term fiscal-space pressure. Under regional benchmarking, the key question is whether the Philippines’ debt, deficit, revenue, and debt-service indicators are unusually weak relative to peer economies. Under theory-based approaches, the key issue is whether debt can be stabilized under plausible macroeconomic assumptions through appropriate primary balances, fiscal adjustment, and revenue capacity. A stronger future assessment would need to integrate these perspectives more directly by combining regional benchmarking with formal fiscal-gap analysis, debt-stabilizing primary balance estimates, and separate treatment of external debt, foreign-currency exposure, and private-sector balance-sheet risks.

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